STRATEGIC INTELLIGENCE REPORT

Pathways to Lasting Peace

Iran–US/Israel Conflict: Strategic Analysis and Predicted Settlement Framework (2026–2030)

SCENARIO ID

iran-us-israel-peace-2026

ANALYSIS DATE

April 03, 2026

Generated by MDQ Predictive Intelligence System

EXECUTIVE PREDICTION: A PHASED GRAND SETTLEMENT

Most Likely Outcome (60–72% Confidence)

A survival-driven convergence leading to a phased, China-brokered brokered grand settlement by 2029. This is a **durable managed managed hostility reduction**, not a warm peace.

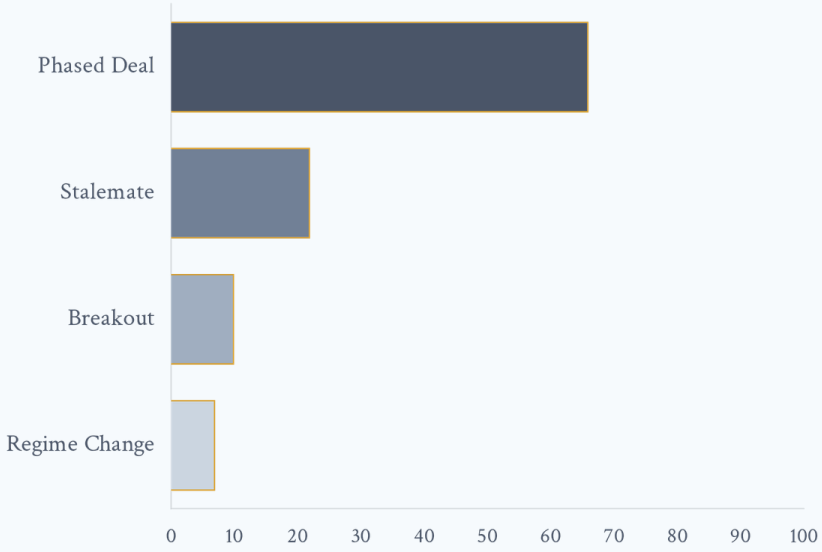
Two-Stage Strategic Roadmap

- **Stage 1 (2026):** Immediate ceasefire, humanitarian relief, and and partial reopening of the Strait of Hormuz.
- **Stage 2 (2027-2029):** "JCPOA-2 Plus" framework addressing nuclear caps and regional security guarantees.

The Foundational Logic

Mutual exhaustion and acute economic crisis override ideological ideological barriers, forcing both parties toward a face-saving saving settlement.

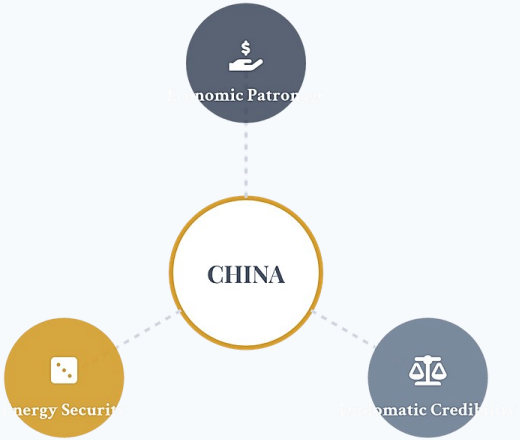
Scenario Probability Assessment (2026–2030)



Source: MDQ Predictive Intelligence Analysis, April 2026

CHINA'S STRUCTURAL LEVERAGE: THE PRIMARY CATALYST

China's Strategic Mediation Architecture



Source: MDQ Strategic Analysis, April 2026

Indispensable Broker Status

China is the only actor holding simultaneous economic leverage over Iran and diplomatic credibility with Gulf states, making its mediation a structural necessity.

Economic Patronage

Leveraging the $400B 25-year strategic partnership and primary oil buyer status to secure Iranian compliance and reopening of the Strait of Hormuz.

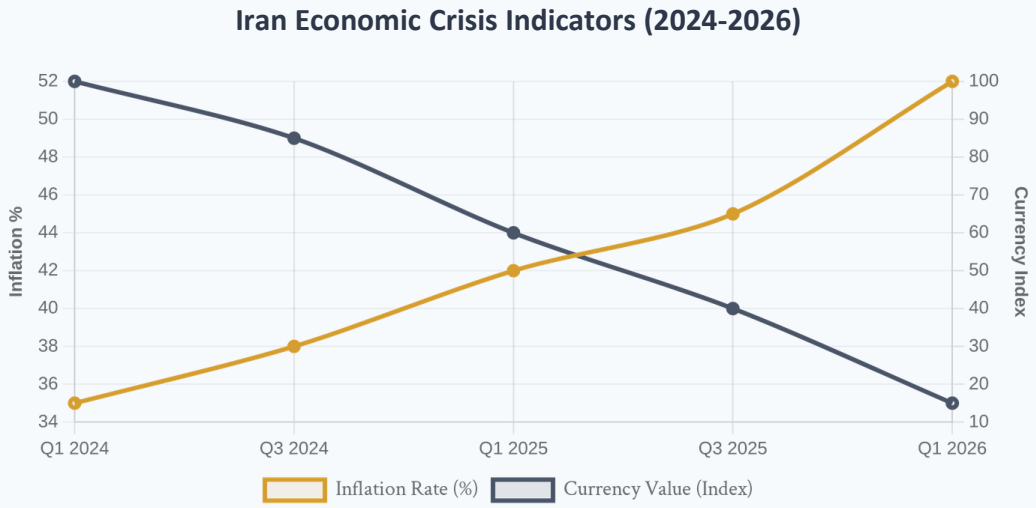
Diplomatic Credibility

Building on the 2023 KSA-Iran rapprochement to position Beijing as the "honest broker" "honest broker" alternative to unilateral US pressure.

Economic Guarantor

Serving as the primary enforcer of deal durability through Chinese investment stakes, independent of US domestic political shifts.

ECONOMIC EXHAUSTION OVERRIDES IDEOLOGY



Source: MDQ Economic Intelligence Unit, April 2026

Acute Economic Crisis

Inflation exceeding **40%** and total currency collapse have created a survival imperative that outweighs traditional hardline ideology.

Key Pressure Points

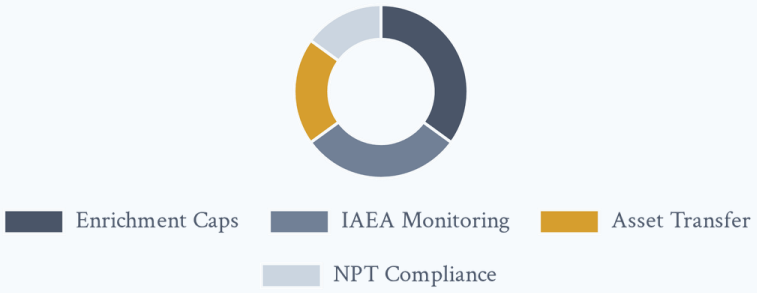
- **Strait of Hormuz:** Closure damages Iran's own reconstruction imports.
- **Oil Exports:** Near-zero revenue necessitates immediate sanctions relief.
- **Public Opinion:** Economic exhaustion erodes "rally-"rally-round-flag" effects.

Strategic Gravity

The **Survival-Driven Convergence** pulls both parties toward a deal faster than diplomatic efforts alone could achieve.

"VERIFIED THRESHOLD STATUS" AS THE NUCLEAR FOUNDATION

Nuclear Disposition & Compliance Framework



Source: MDQ Strategic Analysis & IAEA Framework, 2026

Strategic Equilibrium

The settlement shifts from nuclear elimination to **verifiable limitation**, allowing Iran to maintain threshold knowledge while capping active enrichment.

Enrichment Cap	HEU Transfer	Compliance
20%	**440kg**	**36mo**
Purity Limit	To Custodian	Full Window

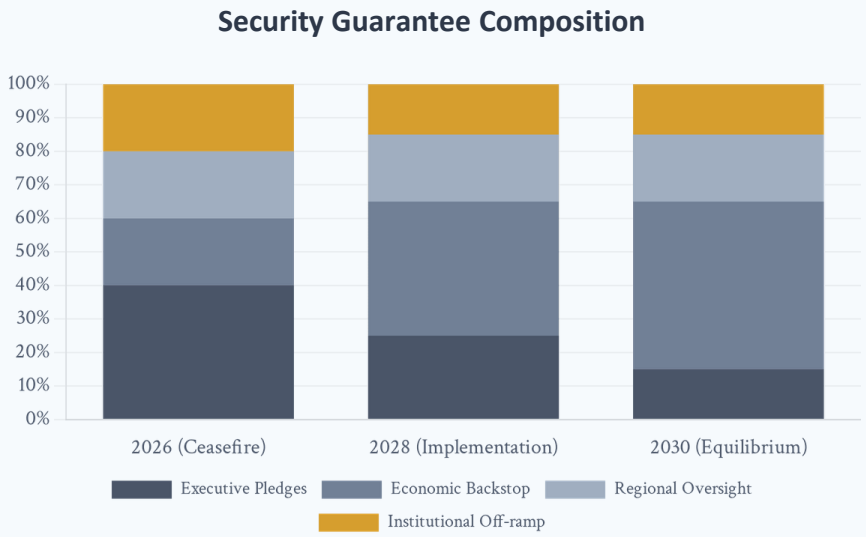
Key Settlement Pillars

- **IAEA Monitoring:** Enhanced additional-protocol access for routine and ad-hoc inspections.
- **Third-Party Custody:** External custodian holds all 60%+ materials.
- **NPT Re-entry:** Reversal of the exit vote as a condition for relief.

Durable Endpoint

Iran retains knowledge as deterrent hedge while partners secure a verified cap on breakout capacity.

MULTILATERAL NON-AGGRESSION FRAMEWORK



Source: MDQ Strategic Architecture Analysis, 2026

Multilateral Architecture

The framework replaces fragile bilateral trust with a robust multilateral structure where China and Russia serve as formal economic and security guarantors.

Executive Pledges

US non-aggression declaration co-signed by global powers.

Economic Backstop

Chinese investment stakes tied to Iranian compliance.

Regional Oversight

Oman and Qatar as permanent compliance monitors.

Institutional Off-ramp

Implicit survival guarantees for IRGC domestic interests.

Strategic Implication

By decoupling security from US domestic politics, the framework creates a durable equilibrium that survives administration changes.

REGIONAL STAKEHOLDER STRATEGIC ARCHETYPES

Stakeholder Positioning Matrix

STRATEGIC INTEREST (Economic → Security)

ISRAEL Security-First / Confrontational	**SAUDI ARABIA** Security-First / Cooperative
RUSSIA Economic-First / Confrontational	**CHINA** Economic-First / Cooperative

DIPLOMATIC STANCE (Confrontational → Cooperative)

Source: MDQ Geopolitical Analysis, April 2026

Strategic Alignment

The peace framework depends on balancing the divergent interests of regional powers, moving from zero-sum confrontation to managed stability.

Israel

Focus on absolute threat elimination and military deterrence.

Saudi Arabia

Seeking regional stability to protect Vision Vision 2030 investments.

Russia

Extracting diplomatic leverage and maintaining energy influence.

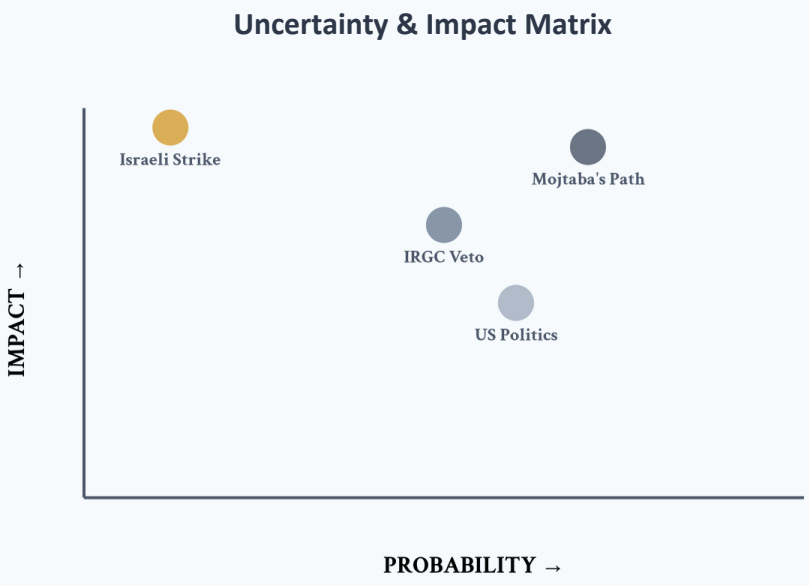
China

Driving economic integration and energy security via mediation.

Strategic Implications

- KSA acquiescence is essential for regional legitimacy.
- Israeli deterrence remains the primary tail-risk to diplomacy.
- China acts as the structural anchor for deal durability.

CRITICAL UNKNOWNS AND THE RISK OF ESCALATION



Source: MDQ Predictive Intelligence Analysis, April 2026

The Domestic Black Box

The sustainability of any external deal depends on the internal legitimacy dynamics of the new Iranian leadership and the coherence of the IRGC.

Mojtaba Khamenei's Direction

Will the new Supreme Leader pursue "Resistant Pragmatism" for survival or hardline legitimacy-building? This variable shifts the timeline by 18–24 months.

IRGC Institutional Coherence

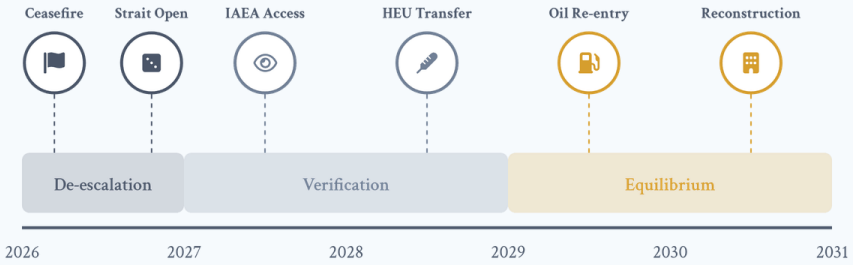
The risk of hardliner veto remains high if the deal is perceived as capitulation. Military Military degradation may shift the balance toward civilian pragmatists.

The Israeli Wildcard (12%)

A unilateral strike during negotiations remains the most consequential tail risk, potentially collapsing the entire diplomatic framework.

THE "TEHRAN GRAND BARGAIN": A ROADMAP TO 2030

Peace Implementation Timeline



Source: MDQ Strategic Roadmap Analysis, April 2026

Strategic Imperative

The Grand Bargain transitions the region from active conflict to a durable equilibrium of managed hostility, anchored by Chinese economic guarantorship.

Phase 1: De-escalation (2026)

Immediate ceasefire, $25B asset release, and partial reopening of the Strait of Hormuz to restore global energy flow.

Phase 2: Verification (2027-2028)

Phased sanctions relief tied to IAEA verification milestones and the transfer of HEU to HEU to third-party custody.

Phase 3: Equilibrium (2029-2030)

Full oil market re-entry (2-3M bpd), Chinese-led reconstruction, and regional non-interference compacts.